Huhtamaki India Ltd

Concall Tracker · Q2 FY2027 (quarter ended 30 Sep 2026, the company's own Q3 CY2026) · NSE: HUHTAMAKI · BSE: 509820 · Report prepared 7 Nov 2026

Not investment advice. Do your own due diligence. An AI-generated reading of the company's own earnings-call transcripts and public financials.

1 Snapshot

What it does: makes flexible packaging, the printed plastic pouches, wrappers, sachets and labels that FMCG (fast-moving consumer goods: food, soap, shampoo) brands sell their goods in. It's the Indian arm of Finland's Huhtamaki Oyj, which owns 67.7%. Its money comes from turning plastic film and foil into printed laminates and passing raw-material price swings on to customers. Calendar note: its financial year runs January to December, so the July–September 2026 quarter is its "Q3 CY2026" and this project's Q2 FY2027.

Measure	Value	Plain read
Market cap / price	₹1,603 cr / ₹212	Small-cap. The stock is down about a third from its ₹330 high, so some of the summer excitement has come out.
Sep 2026 quarter sales	₹769 cr (Screener) / ₹748 cr net (management)	Up about 23–24% on a year ago, the highest quarter in years. Roughly a third is volume, a third mix, a third passed-on plastic prices.
Quarter operating margin	8% (vs 10% in June, 9% a year ago)	Eight paise of operating profit per rupee of sales. Dipped because a late-September cost jump wasn't passed on in time, and last year had one-off gains.
Quarter net profit	₹30 cr (vs ₹37 cr)	Down about a fifth, but that includes a ₹9.6 cr one-time charge for shutting the Baddi labels plant.
Nine-month EBITDA	about ₹204 cr, ~10% of sales	Operating profit for Jan–Sep up about a quarter while sales grew about a sixth, so margin is still higher than last year on the full stretch.
Borrowings	₹145 cr, against a large cash pile	All one loan from the Finnish parent. The company is net cash, so debt isn't a worry.
P/E / ROCE	11.7x / 12%	Cheap on earnings, but returns on capital are still modest because a lot of cash sits idle.

2 Concall coverage

Quarter	Call date	Transcript read?
Q1 CY2023 → Q1 CY2026 (13 calls)	Apr 2023 – May 2026	Carried forward from the Q1-2027 report
Q2 CY2026 (Apr–Jun 2026), prior boundary	27 Jul 2026	Read in the Q1-2027 report
Q3 CY2026 (Jul–Sep 2026)	**30 Oct 2026** (filed 2 Nov)	**Newly deep-read in full ★**

Only the new October call was read in full this quarter. The three-year backstory comes from the prior report. Fifteen calls in all, every quarter since early 2023.

★ Latest concall highlights — Q3 CY2026 (call 30 Oct 2026)

- **Volume grew again, for the third quarter running.** Physical volume up about 7% in the quarter and 4% for the nine months, "after a couple of years where the volume has been stagnant." The MD stressed that its FMCG customers are reporting volume declines while Huhtamaki's rose, so it's likely taking share in a market where it holds under a tenth.
- **Margin slipped.** Raw-material costs jumped "more aggressively in September," and contracts pass costs on with a lag of weeks to a month, so part of it lands in the December quarter. Last year's quarter also had one-off gains from retirement-benefit reversals. Management says like-for-like EBIT margin is about 8%.
- **Baddi labels plant closed.** Its smallest and loss-making pressure-sensitive labels plant shuts at end-October; volumes moved to Ambernath and Bangalore. ₹9.6 cr one-time charge hit profit. Management says no other closures are planned.
- **Solar plant at Khopoli live from August,** after a one-quarter slip. Renewable power share now 23%.
- **Still no guidance.** Asked about margins for the next two to three quarters: "We don't disclose our forecast." Asked about tailwinds: "I don't see many tailwinds... we're working very hard to earn that increase."

Business mix & capacity

Domestic vs export: not broken out on this call; the prior record put exports at about 30% of volume. Plain read: most of the business is in India.
Capacity utilisation: not disclosed (withheld since early 2024). The MD said there's no need for "any huge investment" for the next two to three years. Plain read: plenty of idle capacity, so growth needs no new plants.

★ Since our last report

Builds on the Q1-2027 report (call 27 Jul 2026). Prior verdicts: trigger **MAYBE**, consistency **MAYBE**.

Prior read	What we said then	What the new call shows	Movement
Trigger: MAYBE	Margin repair done; volume turn only one quarter old and partly customer stockpiling	Volume grew again (about 7%) without stockpiling being cited, but margin fell back	Improving
Consistency: MAYBE	Reliable when it refuses to forecast; strategy reversed twice before	Again no forecast; solar delivered as last said; Baddi closure explained plainly	On-track
Promise: verify the volume turn	"Verify before believing the volume turn"	Second straight quarter of growth, nine months up 4%	Confirmed
Promise: solar live in Jul–Sep	Slipped once, said live in Q3	Started in August	Confirmed
Promise: margins hold near double digits	June quarter at 10.5%	Quarter at ~8% on cost lag; nine months still 10%	Slipping

The prior report had no checkpoint box, so the promise rows above are scored instead: Delivered (volume), Delivered (solar), Partly (margin).
Verdict change: trigger unchanged at MAYBE (volume better, margin worse); consistency unchanged at MAYBE.

★ 3 Earning-trigger thesis

Stop chasing cheap volume, cut cost and plants, sell higher-value laminates, and grow with or faster than the market. The margin part already landed over 2024–25. The open question was volume, and it has now grown three quarters in a row while customers' own volumes fall. What's missing is proof that margin can stay near double digits when plastic prices jump, and any sign the idle cash gets put to work.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
Volume growth / share gain	"Although our customers are reporting flat volumes... we are growing, which shows we are perhaps gaining market share."	~7% in Q3, 4% YTD after years of decline	Now	Moderate	↑ improving: second quarter, no stockpiling caveat
Higher-value mix	"Majority" of volume growth came from higher-value products	Mix is about a third of sales growth; awards for foil-free sachet	Ongoing	Moderate	unchanged
Margin repair	Like-for-like EBIT about 8%; quarter swings are timing	Nine-month EBITDA 10% vs 9.2%; quarter dipped	Done, defended	Moderate	↓ weakening: quarter fell back
Cost self-help	Baddi closure "will improve efficiency"; solar live	Plant shut, solar running	Next 2–4 qtrs	Moderate	↑ small step
blueloop / sustainability	"Biggest tailwind I would aspire," wishes for more regulation	Awards, no adoption number given	Unclear	Weak	unchanged

3b Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Not discussed.
New business	No	Not discussed beyond award-winning products.
Margin up	No	Quarter margin fell; nine-month margin up but management framed the quarter as a timing dip (30 Oct 2026).
New management	No	MD and CFO unchanged since early 2026.
New capacity	No	"No huge investment" needed for two to three years (30 Oct 2026).
Big orders	No	Not discussed.
Turnaround	No	Not described as one this call.
Promoter buying	No	Parent holding flat at 67.7%.

Single concrete driver: volume is finally growing while its FMCG customers' volumes shrink, which points to share gains from higher-value pouches and laminates.

3c Margin bridge

Quarter operating margin about 8% against about 9% a year ago and 10% in June. Why: a sharp September rise in raw-material costs that contracts pass on with a lag, plus one-off retirement-benefit gains in last year's quarter, plus higher power and fuel costs. Management expects the lag to be recovered in the next months. Nine-month margin is still up. (one-off)

4 Management consistency scorecard

Period	What was promised	What actually happened	Verdict
2023 (backstory)	Cut plants, drop low-margin work, 10% EBIT by 2030	Sites 15 → 10, margin up sharply; strategy then reversed and re-adopted in 2024–25	Partly
2024 (backstory)	blueloop to 40–50% "next year"; H2 better than H1	Both missed	Missed
Feb 2025 (backstory)	"Demand coming back strongly"	Volumes fell all of 2025	Missed
Oct 2025	Volume growth will return	Returned from Jan 2026, held through Sep 2026	Delivered (late)
Feb–May 2026	Solar live in Q2; raw-material cost passed through	Solar live August (one quarter late); pass-through held, with a lag this quarter	Delivered
Jul 2026	No run-rate or margin forecast; flagged stockpiling as temporary	Sales stayed at the higher level; margin dipped	Delivered (candour)
Oct 2026	No more plant closures planned; margin dip is timing	Too early	Too-early

Narrative drift: the story is steady under the new MD: grow volume with better products, keep margin, don't forecast. Tone is plain and a little defensive on numbers (capacity, land, split of growth all withheld as "competitive"). The new team still hasn't said what it will do with the cash pile.

5 Bottom line — two verdicts

Durable earning trigger? → MAYBE vs last quarter: unchanged

What moved: the volume turn passed its first test, growing again in a quarter with no stockpiling excuse and while customers shrank. That's real. But the margin fell back to about 8% the first time plastic prices spiked fast, and nothing new (capex, acquisition, bigger payout) is planned for the idle cash. The trigger is share gain on a flat-to-falling customer base, which is plausible but two quarters of data is thin.

Management consistent? → MAYBE vs last quarter: unchanged

Nothing broke. Solar arrived as last promised, the Baddi closure was explained without spin, and they again refused to forecast, which in this company's history is the reliable mode. The older record of reversed strategy and raised-while-missed blueloop targets, plus narrowing disclosure, keeps it from a Yes.

★ 6 Checkpoints for next quarter

- Volume grows year on year again in the December quarter
- Margin recovers once the September cost rise is passed on
- No new plant closure or restructuring charge after Baddi

Sources: Huhtamaki India earnings-call transcript of 30 Oct 2026 (filed with NSE/BSE 2 Nov 2026, via Screener.in); prior Q1-2027 concall-tracker report; Screener.in financials as at 7 Nov 2026.